

May CPI – underlying pressures firm

#inflation

#australia

#rba

#economicbulletinsaustralia

#inflation



By Neha Sharma
Economist, Westpac

18:00 June 24 2026

 Share

Monthly May CPI $-0.7\% \text{mth}/4.0\% \text{yr}$, Trimmed Mean $0.4\% \text{mth}/3.6\% \text{yr}$.



- May CPI fell $-0.7\% \text{mth}/4.0\% \text{yr}$, below both our forecast and market expectations, with the downside surprise concentrated in holiday travel and clothing & footwear.
- Underlying inflation firmed, with trimmed mean inflation in line with our expectations at $0.4\% \text{mth}/3.6\% \text{yr}$. The three-month annualised pace lifted to 3.8%.

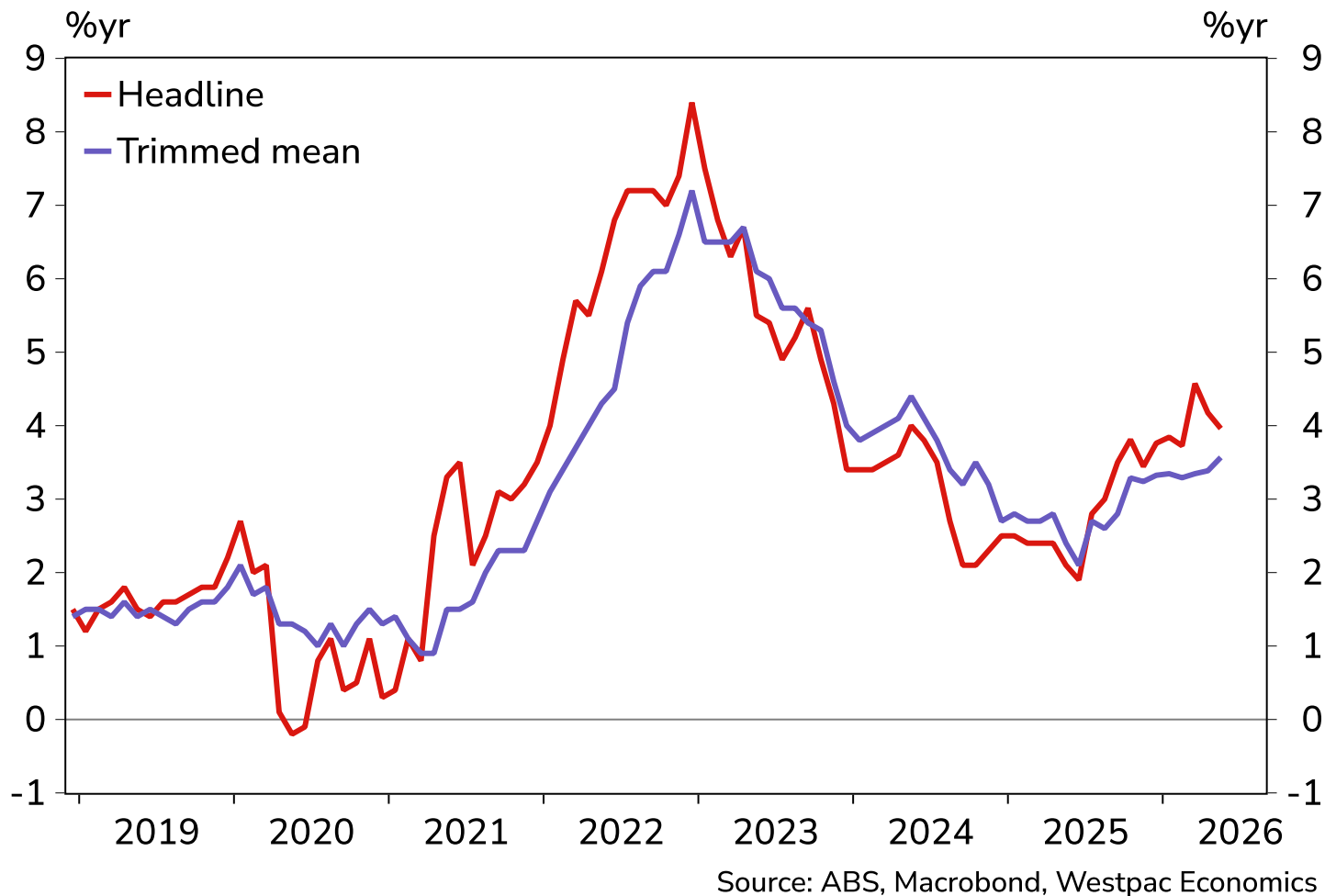
- Housing remains the key inflation pressure point, with new dwelling costs posting their strongest monthly increase since late-2022 and rents also surprising on the upside. There is also stronger evidence that pressures are broadening particularly within services.
- While oil and commodity prices have eased from recent highs, we expect further pass-through into consumer prices over coming months as earlier cost increases continue to filter through the economy. This is likely to keep inflation uncomfortably high for the RBA who will be concerned about high inflation becoming embedded in domestic wage and price setting behaviour.

The May CPI fell -0.7% mth to be up 4.0% yr. This was below our estimate of -0.3% mth/ 4.4% yr and market expectations of -0.4% mth/ 4.3% yr. May is typically a seasonally softer month for the CPI. In seasonally adjusted terms, the CPI dipped -0.1% mth, compared with our estimate of $+0.2\%$ mth.

The key drags on headline inflation were transport (-0.4 ppts), with fuel prices falling 11.9% in the month, clothing & footwear (-0.1 ppt) and recreation & culture (-0.4 ppts). The latter two accounted for nearly all of the miss in our monthly result, with domestic travel also softer than anticipated. Balancing this was strong outcome in the housing component, which added $+0.1$ ppt, with a broad-based pick-up across electricity, rents and new dwelling costs.

While headline inflation was softer than projected, trimmed mean inflation came in-line with our forecast, rising 0.4% mth/ 3.6% yr (slightly softer at the second decimal place). The three-month annualised rate has picked up to 3.8% from 3.1% in February, before the breakout of the Middle East conflict.

Headline and trimmed mean inflation



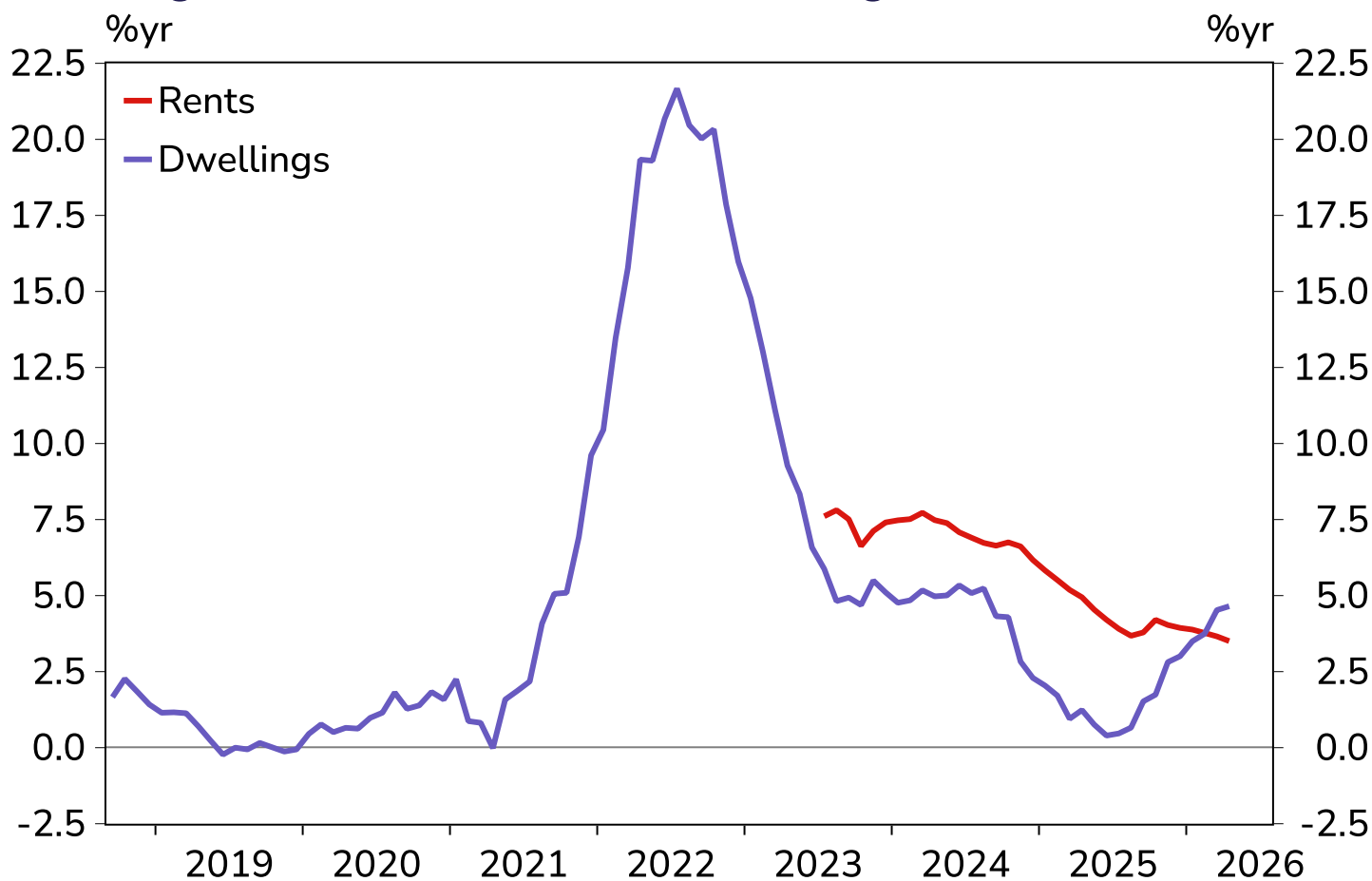
New dwelling costs rose by a stronger than expected 0.9%_{mt}/5.6%_{yr}, the strongest monthly increase since December 2022. The ABS again pointed to project home builders raising base prices to pass through fuel surcharges and higher material costs.

We had flagged upside risks to this. Builder material price notifications data, showed a 17% in average prices in May in seasonally adjusted terms, with data pointing to an easing to 11% in June and 9% in August, but still well above average levels. That points to ongoing pipeline pressure on build costs ahead.

Rents were also firmer than we had expected at 0.4%_{mt}. We also think there is further upside here given trends in advertised rents which take some time to flow through to CPI rents.

At this stage, housing inflation remains the key pressure point. It accounts for around 20% of the CPI basket and is typically a source of persistence for trimmed mean inflation, this keeps upside risk in focus and is likely to keep the RBA uneasy.

Housing inflation – rents and dwellings



Source: ABS, Macrobond, Westpac Economics

Overall, food inflation came in largely as expected (0.6%*mt* vs 0.7%*mt* expected), however there were some swings at the expenditure class level. Dairy products were a key upside surprise rising 2.3%*mt*. This likely reflected some temporary fuel surcharges announced by grocers across dairy products. At the other end fruit & vegetables rose by less than we expected (1.1%*mt* vs 2.9%*mt* expected). Food prices is an area we'll be paying close attention to in H2. We are yet to see the impact of higher fertiliser costs, which is having an impact on farmers planting decisions, and when combined with an El Nino event could see larger food prices increases in late-Q3 onwards.

Market services excluding volatiles fell -0.3%*mt*, with the year-ended rate lifting to 3.2%*yr*. Excluding volatiles and holiday travel, prices rose 0.2%*mt*/4.2%*yr*, in-line with expectations. Areas that showed more pronounced increases include: audio, visual and computing & media services (1.2%*mt*/10.5%*yr*); restaurant meals (0.4%*mt*/3.9%*yr*, takeaway foods was also strong 0.5%*mt*/4.1%*yr*); dwelling and motor vehicle repair costs (0.7%*mt*/3.7%*yr* and 0.9%*mt*/6.3%*yr* respectively). All of these are running at their highest annual pace in the full monthly series and there is risk of further upside given our expectations for stronger wage outcomes in H2 2026.

Overall, underlying pressures are broadening after showing more contained signs in March and April. The share of the CPI basket that is running above 3% at a three-month annualised pace is just under 50%, after recording low-40s reads the past two months. This is also the highest share since around October 2025.

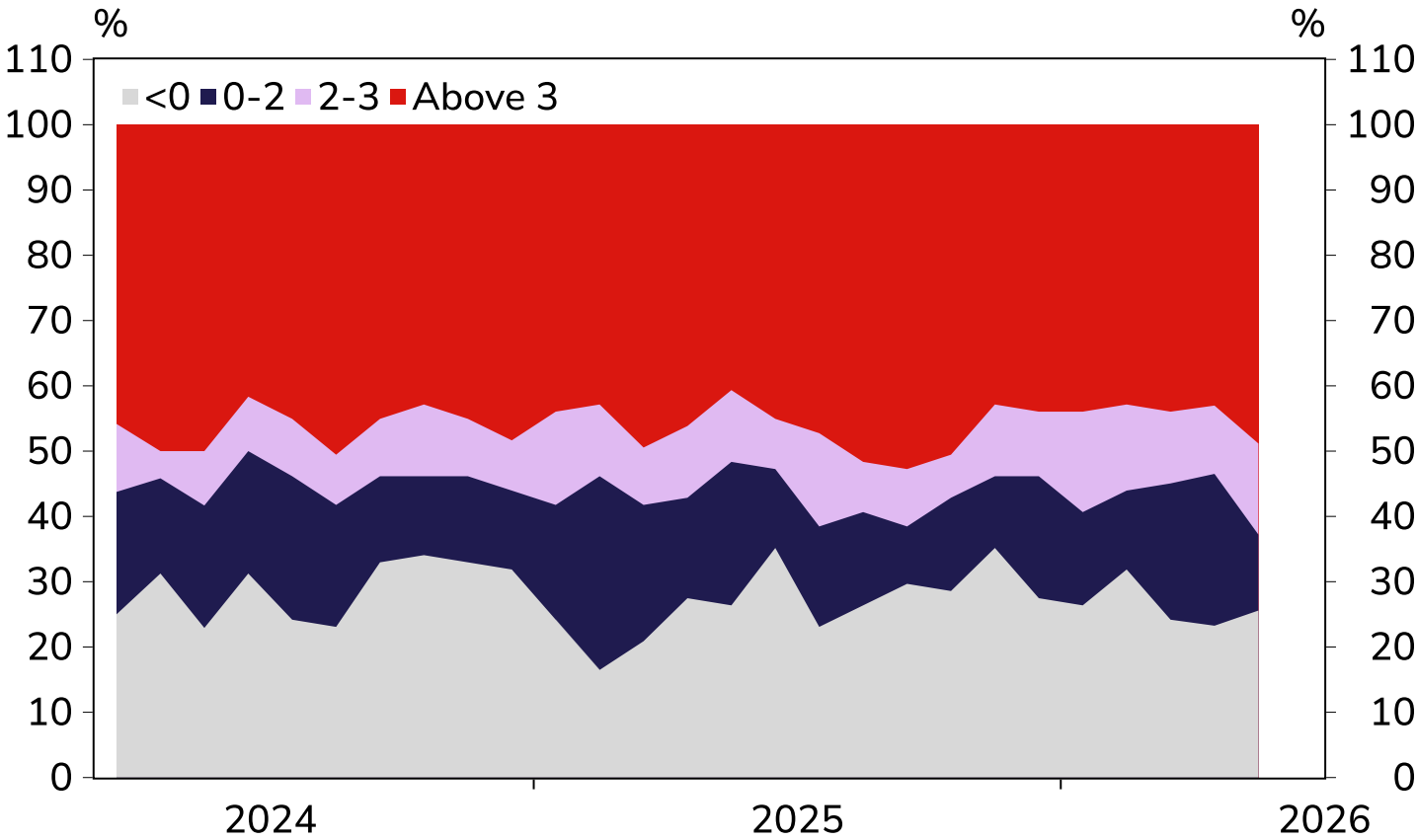
The May data provide a stronger signal that second-order effects from the Middle East supply shock are becoming more visible across consumer prices. Oil prices are off their highs and policy is still dampening parts of fuel inflation, for now, but higher fuel, transport and commodity costs are continuing to feed through to a broader range of categories. This is consistent with firms passing on at least part of the increase in input costs, including energy, freight, plastics and chemicals.

The key question is whether these price increases reverse as cost pressures ease, or whether they persist. Postal costs fell in May, as the fuel surcharge was reduced, showing some pass-through can unwind. But the risk is that pass-through in other areas is stickier, particularly across services. The increase in hairdressing prices, for example, could reflect firms adjusting prices not just for higher fuel and transport costs, but for a broader expectation of higher operating costs. That makes the May outcome less about whether pass-through is occurring, and more about how broad and persistent it becomes.

The May data reinforce the RBA's concern that inflation remains too high and that a period of slower growth will be needed to return inflation to target. The post-meeting statement had already given a stronger steer than recent communication, with the Board adding that it was prepared to increase the cash rate further "if required". Governor Bullock repeated this point in the media conference. That looked deliberate, and suggests the Board wanted to push back against speculation that it is done hiking.

Inflation Sub-Categories

Three-Month Annualised Growth, Share of Basket



Source: ABS, Macrobond, Westpac Economics

CPI Item	Qtr CPI	Monthly CPI			WBC fcs
	Jun-26 % yr	Mar-26 % yr	Apr-26 % yr	May-26 % yr	May-26 % yr fcs
Food	3.4	3.1	2.8	3.3	3.4
of which, bread & cereals	1.4	0.6	0.7	1.5	1.4
of which, meat & seafood	5.5	4.8	5.0	5.4	5.4
of which, dairy & related products	2.8	2.5	2.3	5.2	2.8
of which, fruit & vegetables	3.3	1.8	0.1	2.0	3.8
of which, food products nec	2.4	2.9	2.2	1.6	2.4
of which, non-alcohol beverages	1.9	2.2	2.0	1.5	1.8
Alcohol & tobacco	4.7	4.4	4.3	4.7	4.0
of which, Alcohol	2.1	1.7	1.6	2.2	1.4
of which, Tobacco	11.1	11.2	10.7	10.9	10.5
Clothing & footwear	4.6	7.1	5.9	5.0	6.1
of which, garments	2.3	4.3	3.1	2.1	3.7
Housing	6.6	6.5	6.3	6.5	6.3
of which, Rents	3.6	3.7	3.5	3.6	3.4
of which, House purchases	5.1	4.5	4.7	5.6	5.1
of which, Electricity	21.0	25.4	22.5	21.1	20.0
of which, Gas & other fuels	7.3	5.7	5.7	4.9	8.2
H/hold contents & services	1.5	1.4	1.2	1.7	2.0
Health	4.2	3.0	4.0	3.8	4.0
Transportation	3.1	8.9	6.6	3.3	3.1
of which, auto fuel	6.0	24.2	18.6	7.7	4.5
Communication	1.9	1.4	1.5	2.1	1.4
Recreation	5.3	2.8	2.5	2.4	5.6
of which, holiday travel	7.6	2.2	1.7	1.9	8.5
Education	3.8	4.8	4.8	4.8	4.8
Financial & insurance services	3.4	2.8	3.0	3.2	3.3
CPI: All groups % year	4.4	4.6	4.2	4.0	4.4

Stay informed with Westpac IQ

Get the latest reports straight to your inbox.

Subscribe

Related articles



#inflation

First impressions – May CPI

June 24 2026 • ⌚ 5 mins

By [Neha Sharma](#) & [Sian Fenner](#)



#inflation

May CPI: preview and analysis

June 19 2026 • ⌚ 5 mins

By [Neha Sharma](#)



#inflation

First impressions: NZ selected prices (May 2026) and updated CPI forecast

June 16 2026 • ⌚ 2 mins

By [Satish Ranchhod](#)

Browse topics

#aud

#australia

#interestrates

#nzd

#usd

#newzealand

#rates

#credit

#yieldcurve

#acgb

#inflation

#rba

#semigovernment

#basis

#commodities

#ustreasury

#fx

#rbnz

#jpy

#abs

Show more tags

Disclaimer

©2026 Westpac Banking Corporation ABN 33 007 457 141 (including where acting under any of its Westpac, St George, Bank of Melbourne or BankSA brands, collectively, “Westpac”). References to the “Westpac Group” are to Westpac and its subsidiaries and includes the directors, employees and representatives of Westpac and its subsidiaries.

Things you should know

We respect your privacy: You can view the [New Zealand Privacy Policy](#) here, or the [Australian Group Privacy Statement](#) here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

This information, unless specifically indicated otherwise, is under copyright of the Westpac Group. None of the material, nor its contents, nor any copy of it, may be altered in any way, transmitted to, copied or distributed to any other party without the prior written permission of the Westpac Group.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward-looking statements. The words “believe”, “anticipate”, “expect”, “intend”, “plan”, “predict”, “continue”, “assume”, “positioned”, “may”, “will”, “should”, “shall”, “risk” and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-

looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability-related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide [here](#) or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the

appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at the internet address www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S.: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent

liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2) of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and

“professional clients” as defined by the rules of the Financial Conduct Authority and is not intended for “retail clients”. Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area (“EEA”): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH (“WEG”) under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority (‘BaFin’) and subject to its regulation. WEG’s supervisory authorities are BaFin and the German Federal Bank (‘Deutsche Bundesbank’). WEG is registered with the commercial register (‘Handelsregister’) of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA’s Prudential Standard 222 ‘Association with Related Entities’, Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an ‘investment recommendation’ and/or ‘information recommending or suggesting an investment’, both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) (“MAR”). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found [here](#). Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.